5. **Review Internal Control System:** It enables the external auditor to review the internal control system in detail as to their effectiveness and continuity.
6. **Moral Check on Clients Staff:** It helps in exercising moral check on the staff of the client.

### 2.5.3 Disadvantages

1. **Increase in Work load of Audit Staff:** Interim audit involves finalisation of accounting statements for some specific period of time which increases the work load of audit staff.
2. **Possibility of Alteration of Accounts:** An inherent danger of interim audit is alteration of figures that are already checked and finalised.
3. **Erosion of Capital:** Wrong assessment of profit may lead to erosion of capital through interim dividend.

## 2.6 Occasional Audit

Occassional audit is conducted as a special event, normally in those organisations when routine audit are not taken place. For example, audit conducted in a partnership firm on admission or on retirement of a partner. Occasional audit is also performed when Government orders for a special audit to investigate into certain matters.

## 2.7 Standard Audit

Standard Audit refers to detailed checking and analysis of certain transactions only and the remaining transactions are subjected to sample checking provided there is a good and effective system of internal check in operation. In other words, it is a sample checking after a satisfactory and detailed checking of some of the items.

| Summary of Advantages and Disadvantages of Interim Audit | |
|---|---|
| **Advantages** | **Disadvantages** |
| 1. Quick detection of errors and frauds | 1. Increase in work load of audit staff |
| 2. Helps in making improvement | 2. Possibility of alteration of accounts |
| 3. Helps in publication of interim results | 3. Erosion of capital |
| 4. Early completion of annual audit | |
| 5. Review internal control system | |
| 6. Moral check on clients staff | |

**AUDITS BASED ON FUNCTION**

- **External Audit:** Audit which is undertaken by an individual person who is appointed by the shareholders and not by the management is External Audit.
- **Internal Audit:** Audit which is conducted internally i.e., on behalf of the management of the company is Internal Audit.



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